limited, but the upside is unlimited. In fact, you are structuring traders like they are options.

Yes, completely.

In addition to the broad diversification and the tight 3 percent/3 percent two-tiered risk constraint on each trader, are there any other elements to the risk management strategy?

We have a seven-person risk management team.

What are they looking for?

The key thing they are monitoring for is a breakdown in correlation.

Wouldn't it be the other way around? Wouldn't higher correlation increase risk?

No, because most of our positions are spreads. So lower correlations would increase the risk of the position. The most dangerous risks are spread risks. If I assume that IBM and Dell have a 0.95 correlation, I can put on a large spread position with relatively small risk. But if the correlation drops to 0.50, I could be wiped out in 10 minutes. It is when the spread risks blow up that you find out that you have much more risk than you thought. Controlling correlations is the key to managing risk. We look at risk in a whole range of different ways.

What else does the risk management team look for?

They stress test the positions for all sorts of historical scenarios. They also scan portfolios to search for any vulnerabilities in positions that could impact performance. They literally ask the traders, "If you were going to drop $10 million, where would it come from?" And the traders will know. A trader will often have some position in his book that is a bit spicy, and he will know what it is. So you just ask him to tell you. Most of what we get in the vulnerabilities in positions reports, we already know anyway. We would hope that our risk monitoring systems would have caught 95 percent of it. It is just a last check.

Anything else on the risk side?

Being long volatility is great protection against all scenarios. Typically, we are neutral to long volatility, and I hate shorting out-of-the-money